THE MASTERMIND COACHING CLASSES

CBSE / RBSE • NURSERY – CLASS XII • JAIPUR

Road No. 5, VKIA, Jaipur — 9887258679

CLASS 10 — SOCIAL SCIENCE · EASY LEVEL CHAPTER TEST SET 1

Chapter 19: **Money and Credit (Economics)** | RBSE Pattern | Session 2026–27

Time: 1 Hour 30 Minutes Name: _____ Roll No.: _____ **Maximum Marks: 40**

General Instructions:

1. All questions are compulsory.
2. Q. 1–10 are Objective Type (1 mark each).
3. Q. 11–14 are Very Short Answer Type (2 marks each).
4. Q. 15–18 are Short Answer Type (3 marks each).
5. Q. 19–20 are Long Answer Type (5 marks each).
6. Internal choice is given in Q. 17 to 20.
7. Write the question number before each answer.
8. Easy level: direct, single-step questions.

SECTION — A (Objective Type Questions) 10 × 1 = 10

Choose the correct option and write it in your answer book.

1. Which person is more likely to get credit from a bank easily? 1

(a) a minor **(b)** one who has none

(c) one who has collateral and documents **(d)** an unknown person

2. The Indian rupee is accepted because: 1

(a) people like it **(b)** it is printed abroad

(c) the law of the country authorises it **(d)** it is made of gold

3. Compared to moneylenders, banks usually charge: 1

(a) variable interest only **(b)** lower interest

(c) higher interest **(d)** no interest

4. The Indian currency notes are issued by the: 1

(a) commercial banks **(b)** Reserve Bank of India

(c) State Bank of India **(d)** local moneylenders

5. Cooperative societies that lend to their members are a: 1

(a) form of barter **(b)** type of currency

(c) informal source of credit **(d)** formal source of credit

6. Which of these is a barter exchange? 1

(a) buying cloth with a note **(b)** exchanging wheat for cloth

(c) paying by cheque **(d)** paying by deposit

7. Self-Help Groups mostly consist of: 1

(a) traders **(b)** women from a neighbourhood

(c) government officers **(d)** bankers

8. Credit given by traders to customers is an example of: 1

(a) informal credit **(b)** RBI credit **(c)** deposit **(d)** formal credit

9. Paper notes and coins together are called: 1

(a) currency **(b)** deposits **(c)** cheques **(d)** collateral

10. A loan is also known as: 1

(a) credit **(b)** collateral **(c)** barter **(d)** deposit

SECTION — B (Very Short Answer Type) — 4 × 2 = 8

Answer in about 20–30 words each.

11. Why do banks give loans? 2

12. What is meant by demand deposit? 2

13. What is interest? 2

14. What is collateral? Give an example. 2

SECTION — C (Short Answer Type) — 4 × 3 = 12

Answer in about 40–60 words each.

15. Why do banks maintain some cash? 3

16. Why do poor households rely on informal credit? 3

17. What is the role of collateral in a loan? 3

OR

What are the functions of the RBI in credit? 3

18. How can credit lead to a debt trap? Explain. 3

OR

What are the two modern forms of money? Explain briefly. 3

SECTION — D (Long Answer Type) — 2 × 5 = 10

Answer in about 100–150 words each.

19. Differentiate between formal and informal credit sources. 5

OR

Explain the importance of collateral and documentation in loans. 5

20. Explain the modern forms of money. 5

OR

Describe how banks function in the economy. 5

END OF QUESTION PAPER — Total: 40 Marks

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